How Does the Consumer-Focused Innovations in Legal Services Market Invigorate Access to Justice?

Habbine Estelle KIM
Lawyer (Paris & New York)

Electronic copy available at: https://ssrn.com/abstract=3972167

TABLE OF CONTENTS

INTRODUCTION **3**

PART I – CONSUMER EMPOWERMENT **4**

A) Consumers' Complaints System 4

B) Unbundling 5

C) Alternative Dispute Resolution 6

D) Alternative Business Structure 7

E) Power Shift: From Legal Service Providers to Consumers 8

PART II - INNOVATIONS AND CHALLENGES: TECHNOLOGY DISRUPTION **10**

A) Artificial Intelligence 10

B) Big Data 11

C) Online Services and the Internet of Law 12

D) NHS Direct for Law 13

CONCLUSION **15**

Electronic copy available at: https://ssrn.com/abstract=3972167

INTRODUCTION

Access to justice, a "[noble aspiration exalting the justice quality of people's social, civic and economic relation]"[1], has been struggling to survive and to effectively protect the consumers in the increasingly commercialising legal environment. This is even more so with the advent of the post-2008 financial pressures that lead to a continued decline in free services (from 11% in 2013 to 9% in 2015)[2]. The Legal Services Act 2007 ("**LSA 2007**") was devised to effectuate a wide-ranging reform to legal services regulation, complaints handling and delivery to salvage the legal services market ("**LSM**") from this access to justice crisis. The permutations that it spurred include: the advent of alternative business structures; the rising recognition and practice of alternative dispute resolution processes; and a reformed consumer complaints system. Amongst the sundry post-LSA-2007 vicissitudes, technology innovation remains the most significant factor that truly revolutionised the LSM's architecture. It is conceived as being access to justice's capital succor in the progressively digitizing LSM where technologies are becoming the legal service providers' ("**LSP**") "passport to business survival"[3].

In this essay, it will be established that the multitudinous LSM innovations aiming to foster access to justice strengthens the dichotomy between consumers in the LSM's private and business segments.[4] The innovations majorly empower and protect the corporate consumers, subject to some limitations, whilst leaving the more vulnerable private consumers in the access to justice abyss.

The first section examines some of the LSM's existing and emerging non-digital pro-consumer mechanisms contrived to operate in the consumers' interest, such as the consumers' complaints system and unbundling strategies.[5] An emphasis is made on how excessive consumer empowerment, in the context of the LSM's business sector, altered the power position between the LSPs and the corporate consumers to the former's detriment.

The second section focuses exclusively on modern technologies that have engendered profound transformations of the LSM architecture. It also outlines the challenges and risks that the innovations themselves have prompted, alongside the considerations that should be made in preventing, avoiding and/or eradicating those dangers.

---

1 Robins, J., *"Access to Justice Is a Fine Concept. What Does It Mean In View of Cuts to Legal Aid?"* (2011); European Commission, "*A European Consumer Agenda – Boosting Confidence and Growth"* (2012) 225 ("*Well designed and implemented consumer policies with a European dimension can enable consumers to make informed choices that reward competition, and support the goal of sustainable and resource-efficient growth.*")

2 LSCP, "Tracker Survey 2015, Briefing Note: How Consumers Use Legal Services" (2015)

3 Ames, J., "*Technology is Driving Force of Legal Shake-Up"* (2015)

4 Hadfield, "*The Price of Lawyers: How the Market for Lawyers Distorts the Justice System"* (1999)

5 LSCP, "*The Consumer Principles Checklist"* (2014) ("Consumer interest" encompasses all measures supportive of LSCP's consumer principles of access, choice, proxies for quality, information consumers' rights, fairness, representation and redress.)

Electronic copy available at: https://ssrn.com/abstract=3972167

PART I – CONSUMER EMPOWERMENT

The caveat emptor principle and the *laissez-faire* approach that governed the commercial market during the pre-industrial era were threatened by the rise of a mass consumption society.[6] As response to the changing market environment, consumerism was placed at the heart of the LSM, alongside its governing rules and principles and enhanced access to justice.[7] However, social inequalities persist despite the installation of a myriad of pro-consumer constructs because of the detrimental LSM features militating against consumer empowerment.[8]

A) Consumers' Complaints System

The consumers' complaints system ("**CCS**") is a quintessential vehicle for consumers to drive up the standards of legal services and shift the LSM in ways that are more aligned with their interests and needs. It was reconstituted under the LSA 2007, which clarified its structure and simplified the complaints procedure. The rise in number of complaints for solicitors between 2004/05-2008/09 confirms the effectiveness of the reform.[9] However, it can be inferred that the rise in complaints highlights the seriousness of the LSPs' service deficiencies and failures. Alternatively, this may simply show the disparities between LSPs' and the consumers' expectations and/or ideas as to what constitutes a good service. An example would be where LSPs fail to detect and resolve 'soft complaints' from private consumers who may simply want an apology for the LSPs' dissatisfactory legal service. In any case, it is difficult to accurately measure the complaint system's practical utility and effect to the consumers because legal service is a credence good.[10] However, this does not mean that the benefits of the CCS in conducing pro-consumer LSM changes should be undermined.

A major problem to the CCS is that the consumers' confidence and ability to successfully complain about the LSPs' meagre service remains limited. This majorly affects consumers in the private segment rather than the more experienced corporate consumers. For example, 49% of consumers with justice issues do not take advice and only 29% take formal legal advice.[11] The high costs of legal services remain one of the key factors denying access to justice to them. However, these findings could also be indicators of other barriers to access to justice. Consumers might fail to identify the appropriate legal representative.[12] The daunting, confusing and intimidating

---

6 LSCP, "*Risk and responsibility Implications for Regulating Legal Services" (2013);* Katona, G., *The Mass Consumption Society* (1964), McGraw-Hill, 343.

7 S.1(d) of the LSA 2007 emphasises its importance by recognising it as one of their regulatory objectives, alongside the aim of fostering access to justice (s.1(c), LSA 2007) and supporting the principle of the rule of law (s.1(b), LSA 2007)

8 Cartwright, P., "*The Vulnerable Consumer of Financial Services: Law, Policy and Regulation"* (2011),48 (The "impact vulnerability" theory stipulates that some groups of consumers are particularly vulnerable to inherent market characteristics such as asymmetries of information, distress purchases, redress/access barrier or individual risk factors including: poor living conditions; low literacy; and physical/learning disability)

9 LSB, "*Market Impacts of the LSA – Interim Baseline Report"* (2012), 33

10 Lippe, P., *ABA Journal, "What if Someone Could Measure What Lawyers Do?"* (2012)

11 SRA, "*Magnetic Forces: Consolidation in the Legal Services Market"* (2014)

12 LSB, "*Legal Services Benchmarking Report"* (2012)

Electronic copy available at: https://ssrn.com/abstract=3972167

procedure in submitting formal complaints may *ab initio* deter any action from the consumers.[13] The legal jargon used to explicate the basic steps and conditions to complain only exacerbates these procedural difficulties.[14] These problematics increase the likelihood that vulnerable consumers submit unjustified, premature complaints.[15] The LSA 2007 innovations, including the creation of an over-arching regulator, aim to encourage consumer confidence and trust.[16] Nevertheless, the CCS will be of limited value if the consumers remain ignorant as to how it can be properly used.

In order to improve the CCS, the regulatory data can be shared through the publication of the complaints and performance data of businesses as suggested by the British government's Business, Innovation & Skills ("**BIS**") Consumer Empowerment Strategy.[17] In order to ensure accessibility and visibility of such data, LSPs could incorporate it on websites or other marketing platforms alongside the information about their services. This could increase transparency of the CCS, allowing the consumers to guide themselves through the potentially confusing complaints procedure.

B) Unbundling

Although not a common practice at present, there is a slow move towards the adoption of unbundling[18] as consumers increasingly seek to dictate the procedures and outcomes of their legal needs. For example, the Consumer Panel's tracker survey indicates that 20% of consumers unbundled their legal services, notably in employment and immigration work.[19] It may be observed that the cited areas all touch upon the LSM's 'private' rather than 'commercial' segment. The existence of a direct, personal nexus between the consumer and the legal issues at stake in the private sector may incentivise the affected consumer to be more involved in the issue-dealing process. In the business segment, the want for security, certainty and insurance that the issue be resolved in the most professional way is likely to defeat the quest for cheaper alternatives offering potentially lower quality service. Unbundling may also remain less attractive in the commercial sector because the relevant legal issues tend to be more complex and riskier, requiring LSPs' expert skills and knowledge. Hence, different solutions and needs apply to different consumers. Thus, this partial self-lawyering system cannot be qualified as an optimal one-fit-for-all strategy to enhance

13 Optimisa Research, "*Consumer Use of Legal Services: Understanding Consumers Who Don't Use, Don't Choose or Don't Trust Legal Services Providers, LSB"* (2013); Manzoor, Z., "*The Legal Services Act – a perspective from the Legal Services Ombudsman for England and Wales and the Legal Services Complaints Commissioner"* (2008), Issue 76 (An ombudsman is often viewed as an 'honest broker' ensuring that professional bodies conduct "fair, thorough and efficient investigations" when handling the complaints)

14 LSCP, "*Legal Ombudsman, Consumer Experiences of Complaint Handling in the Legal Services Market"* (2012)

15 Consumer Focus, "*Tackling Consumer Vulnerability"* (2012); Manzoor, see n.13

16 Mayo, E., "*Confidence and Competitiveness: The new consumer policy agenda, Labour's Policy Review"* (2012)

17 Department for Business, Innovation & Skills and Swinson, J., "*Better choices: better deals. Report on progress on the consumer empowerment strategy"* (2012)

18 Ipsos MORI Social Research Institute, "*Qualitative Research Exploring Experiences and Perceptions of Unbundled legal Services"* (2015) (unbundling is about "segregating the package of legal service into parts or tasks based on agreement between the client and the LSP")

19 LSCP, Gallagher, C., "*Unbundled legal services, Reflecting on Objections"* (2015)

Electronic copy available at: https://ssrn.com/abstract=3972167

access to justice, despite its hopes of directly reinforcing consumers' rights and involvement in dealing with their own legal issues.

The risks of unbundling include: the consumers' incapacity to understand or execute the assigned task; the LSP providing advice on basis of poor initial information from consumers; and the uncertainty of scope regarding duty breaches. Such uncertainties put the LSPs in situations where they have to confront negligence claims or breach of code of conduct.

The aforementioned concerns signal the need for an appropriate regulatory system that can resolve the uncertainties as to how the Legal Ombudsman will deal with complaints about unbundled services. This may provide LSPs with the confidence to unbundle. LSPs and regulators must also find ways to ensure that consumers have sufficient information to effectively determine which tasks they can handle alone.

C) Alternative Dispute Resolution

Alternative dispute resolution ("**ADR**") is a popularising "social movement, a value system and ideology, discourse, social and legal practice"[20]. It can enhance access to justice by offering flexible and cost-efficient ADR methods such as mediation and arbitration. The rise of unregulated or less-regulated LSPs in an increasingly diversifying ecosystem of legal services delivery[21] partly justifies the growth of the settlement culture, whereby ADR operates as an adjunct of civil justice in the "shadow of the law"[22]. This growth is also observed in the context of the European Union with the introduction of the ADR Directive 2013/11/EU and the Woolf reforms on the promotion of ADR procedures.[23] One of the appealing characteristics of ADR methods is self-determination and autonomy. In mediation processes, for example, disputants retain a certain level of control in designing and implementing their own solution to their legal problems whilst still being assisted by a mediator.[24] ADR processes' emphasis in creating sustainable business relationships may appeal to corporate consumers aspiring to "go beyond just a deal, a bad deal or no deal to arrive at better, professionally managed deals"[25].

However, the lack of enforceability of some ADR processes such as mediation can limit such mechanisms' role in invigorating access to justice.[26] Moreover, the lack of institutionalisation, consistency and uniformity may widen the power gap between the vulnerable consumers and their

---

20 Palmer, M., *Formalisation of Alternative Dispute Resolution Processes: Some Socio-Legal Thoughts* (2014), edited by Zekoll, J. et al., 17.
21 LSCP, Davies, E., "*2020: Where Are We Now? Reflections on our 2020 Report"* (2015)
22 Brown, H. and Marriott, A.*, Alternative Dispute Resolution: Principles and Practice* (2011), 3rd ed., Sweet & Maxwell.
23 Genn, *Judging Civil Justice: the Hamlyn Lecture 2008* (CUP: 2010) Ch.2, 55.
24 Bush, R.A.B., "*Efficiency and Protection, or Empowerment and Recognition?: The Mediator's Role and Ethical Standards in Mediation"* (1989) 41 FLR 253, 266-270.
25 Schonewille, M.A., "*Moving beyond 'Just' a Deal, a Bad Deal or No Deal"* (2011), Ch.5 in Alternative Dispute Resolution in Business: Practice and Issues Across Countries and Cultures (2011), Arnold Ingen-Housz (ed.), Vol.2, 81-116.
26 *Courtney & Fairbairn v Tolaini Brothers* [1975] 1 WLR 297; Walford v Miles [1992] 2 AC 128

Electronic copy available at: https://ssrn.com/abstract=3972167

more powerful counterparts. For example, the disparity in power and financial resources between the disputants can infect the bargaining process and compromise justice.[27] Furthermore, different bargaining dynamics may constitute transaction cost, information asymmetries and strategic behaviours that may cause pressures to the consumers.[28]

Despite the limited coverage of ADR in fostering access to justice, the rise of unregulated legal service delivery is not a mere, peripheral phenomenon. LSPs should make sure to recognise when ADR can be a better option than litigation, such as where the maintenance of "ongoing social ties"[29] is an important condition and concern to the consumers. It is recommended that LSPs sufficiently inform and explain the consumers about the different types of ADR methods available to them prior submitting their claims to the court on a mandatory basis. Regulators could enhance the recognition and use of these ADR processes by creating an ADR Guideline for consumers. The latter may contain a non-exhaustive list of the currently available and emerging ADR mechanisms, the pros and cons of each method, and the circumstances in which it would be advisable to use one method over another.

D) Alternative Business Structure

Alternative business structures ("**ABS**"), once perceived to be revolutionary LSA 2007 creatures that allowed for external investment into law firms and non-lawyer ownership and management, is now viewed as being the "new normal"[30] in furnishing access to justice. Whilst some are concerned about ABSs' potential cherry-picking practices, ABSs play a considerable role in the field of mental health and social welfare.[31] Liberalisation fostered competition and diversified service offerings, thereby providing consumers with increased quality service and affordable ways to resolve their legal issues.[32] Consolidation, diversification of business ventures and increased competition accrued to the consumers' benefit.

Nonetheless, the scope of impact of ABSs - and thus their effect in invigorating access to justice – currently remains limited. Only between 13-15% ABSs are more likely to introduce new legal services compared to other types of regulated, traditional LSPs.[33] The legal elements of big businesses like Tesco and Co-op remain sensitive to broader market reputation and can challenge high street firms in sustaining such legal ventures. It is also argued that "[the larger commercial and City law firms' disinterest and hostility to ABSs will change as the battle for talent rages.]"[34]Upon insolvency of big firms, the SRA predicts that it is the market forces – not the intervention of

27 Fiss, O.M., *Against Settlement* (1984), 93 YLJ 1073
28 Peppet, S.R., *Contract Formation in Imperfect Markets: Should We Use Mediators in Deals?* (2004), Ohio State Journal on Dispute Resolution, 283
29 Nader, L., and Todd, H., *The Disputing Process – Law in Ten Societies* (1978), Columbia UP
30 See n.3
31 LSB, "*Evaluation: Changes in Competition in Different Legal Markets"* (2013)
32 Freidson, "*Professionalism: The Third Logic"* (2001): Professionalism defined as "the use of discipline knowledge and skill for the public good."; Larson, M.S., The Rise of Professionalism – A Sociological Analysis (1977)
33 LSCP, Davies, E., "*What to Do About Innovation? Thinking Beyond the 21st Century"* (2015)
34 Baski, C., "*Reaping the Benefits of an Alternative Business Structure"* (2015)

Electronic copy available at: https://ssrn.com/abstract=3972167

regulators – that will re-establish the LSM equilibrium.[35] Some even argue that deregulation may have detrimental consequences to the "international standing of the profession"[36] such as business interests compromising professional ethics.[37]

Traditional LSPs have responded to market liberalisation via specialisation: "over 25% of firms report conducting at least 90% of their work in a single category of work."[38] Sako observed how firms apply modularity or break down their value chain with the rapid growth of these new types of LSPs.[39] They can all improve their knowledge development processes for "value creation via client interaction and knowledge coproduction with business partners".[40] Consumers will then be able to benefit from the improved quality of legal services. Regulators can publish public annual reports consisting of the criteria, considerations and reasons for deciding when ABS licensing was granted and when it is not. This would increase transparency and clarity in the regulatory system.

E) Power Shift: From Legal Service Providers to Consumers

The aforementioned consumer-protectionist market constructs and aspirations occasioned a shift in balance of power from LSPs to the consumers within the LSM, especially in the commercial domain. With sufficient industry expertise and external information accessible via online means, corporate consumers can be held accountable for their decisions on their legal issues and increase access to justice themselves.[41] Hence, they can be "empowered to empower themselves"[42], eventually becoming the drivers and major determinants of the LSM.

The danger of an overly enhanced consumer power is consumer dominance: the practice of institutional consumers exercising excessive influence over the LPSs that they instruct to the detriment of the public interest. Indeed, powerful consumers such as shadow clients can discipline the LSM by imposing challenging terms of engagement, as well as dictating the LSP's appointment, roles and remuneration. The continued threat to the LSPs' independence may result in the "privatisation of professionalism."[43] Conflict of interest issues may arise as the distinction between the different competing interests become unclear, such as those of the company, the public and

35 Rose, N., "*Market, Not SRA, Will Intervene If Big Firm Hits the Rocks"* (2016)
36 Ibid.
37 Rose, N., "*Top Judge Warns Against Creeping Influence of External investors over Professional Ethics"* (2012); Williams, G., "*ABS's Warned Not to Put Business Interests Ahead of Professional Ethics"* (2012)
38 Pleasence, P et al., "*A Time of Change: Solicitors' Firms in England and Wales"* (2012)
39 Sako, M., "*Global Strategies in the Legal Services Marketplace: Institutional Impacts on Value Chain Dynamics"* (2009) (The legal services value chain is conceptualized as consisting of: knowledge and information management; consultative advice and representation; and client relationship management).
40 Dougherty, D., "*Organizing practices in Service: Capturing Practice-Based Knowledge for Innovation, Strategic Organization"* (2004), 2(1):35-64
41 S.5, Financial Services and Markets Act 2000; see also LSCP, "*Empowering consumers, Background paper 1: Possibilities and Limitations"* (2013)
42 LSCP, "*The Consumer Interest, Using Consumer Principles"* (2014)
43 Whelan, C.J., and Ziv, N., "*Privatising Professionalism: Client Controls of Lawyer Ethics"* (2012), 80 Fordham LR 2577; see also Moorhead, R., "*Out of the Shadows: Are Institutional Clients Influencing Lawyers to the Detriment of Others?"* (2015)

Electronic copy available at: https://ssrn.com/abstract=3972167

the client[44]. Moreover, the LSPs' zealous advocacy can lead to unfair competition, misleading of the court, or the taking of actions that lead to grossly disproportionate costs.[45] These include the use of guerrilla tactics to incur unmanageable costs for the consumer's commercial rival and the adoption of discriminatory and/or unfair trading practices.[46] This is supported by Steven Vaughan and Claire Coe's research[47] which observed an escalation in the risks taken by the LSPs, particularly those on: "[wrapping liability of third party advisers; working on an uncapped liability basis; giving reliance letters; and signing indemnities matter for relevant representative bodies.]"[48]

In order to tackle the aforementioned issues, the LSA 2007 stipulates eight regulatory objectives such as "increasing public understanding of the citizen's legal rights and duties"[49], "improving access to justice"[50] and "protecting and promoting the interests of consumers"[51]. The LSB's blueprint document[52] suggested that "the core protections for legal services consumers should lie in general consumer law"[53]. It was recommended that regulators craft disciplinary regimes and financial protection schemes prior expecting them to risk proactively shaping the LSM.[54]

44 *Bridgeport Holdings Liquidating Trust v Boyer* [2008] WL 2235330
45 Kershaw, D., and Moorhead, R., "*The Times, Where Were the Lawyers When Lehman Crashed?"* (2013)
46 Roney, D.P., "*The Advocate's Response to Guerrilla Tactics in International Arbitration: Practical Approaches and Strategies to Counter Misconduct"* (2010)
47 Coe, C., Vaughan, S., "*Independence, Representation and Risk: An Empirical Exploration of the Management of Client Relationships by Large Law Firms"* (2015)
48 Ibid.
49 S.1(g), LSA 2007
50 Ibid. S.1(c)
51 Ibid. S.1(d)
52 LSB, "*A Blueprint for Reforming Legal Services Regulation"* (2013)
53 LSCP, "*Recognising and Responding to Consumer Vulnerability: A Guide for Legal Services Regulators"* (2014) (The Consumer Rights Act 2015 is designed to clarify consumer rights. The Consumer Protection (Amendment) Regulations 2014 allows consumers to seek redress for misleading and aggressive unfair commercial practices.)
54 Consumer Focus, "*Consumer Conditions in the UK 2011: Analysis of EU Market Monitoring Survey Results"* (2012)

Electronic copy available at: https://ssrn.com/abstract=3972167

PART II - INNOVATIONS AND CHALLENGES: TECHNOLOGY DISRUPTION

Upon reaching an era of "knowledge and network society"[55], observing a phenomenon of information crisis of law, the means to increase access to justice have diversified.[56] This includes the development of machine learning, predictive models and legal data science that help provide consumers with accessible, cost-efficient legal services.[57] These technological innovations provoked disruptions as to: how legal problems are identified; how disputes are resolved; and how legal services are delivered.

A) Artificial Intelligence

When applied to the legal arena, the synergy between the field of artificial intelligence ("**AI**") and cognitive technologies can emancipate access to justice from the constraints of the traditional LSM structure by yielding consumers more efficacious, impartial legal services. In *Pyrrho Investments v MWB Property*[58], parties were permitted to use technology assisted review in order to reduce the costs and delays caused by manual discovery. The court, based on the decision in *Da Silva Moore v Publicis Groupe*[59], held that the use of predictive coding technology could enhance the integrity and consistency of results. The AI revolution does not stop here: it extends to Big Data and other cognitive technologies like machine learning to spur advancements in legal information technology for the benefit of the consumers.[60] A movement towards the standardisation, commoditisation and systemisation of legal services can be observed.

However, with belief that technology innovations will provide a panacea solution for all legal issues, there is a risk of neglecting that legal problems involve complex, multi-faceted 'human' elements such as ethics and critical thinking.[61] Although AI started to engage into more probabilistic and cognitive practices instead of merely delivering perfunctory tasks, AI models are not substitutive but complementary to human skills, experience and judgment. For example, the recent AlphaGo-Lee Sedol Go battle case shows the capacity for machines to factor in 'human qualities and characteristics'.[62] However, AlphaGo's binary way of thinking, in conjunction with its time-management and efficiency-driven algorithmic design, showed its limits: AlphaGo failed to

55 Ahti, S., "*The Digital Lawyer - What skills are required of the lawyer in the Network Society?"* (2015), Proceedings of the 18th International Legal Informatics Symposium IRIS 2015, OCG Publishers, 73-86

56 Spiros, S., "*Information Crisis of Law and Data Processing"* (1970)

57 Susskind, R., *Tomorrow's Lawyers: An Introduction to Your Future* (2013), OUP

58 [2016] EWHC 256 (Ch); see also Reynolds, D., and Gray, L., *UK: Pyrrho Investments Limited And Another v MWB Property Limited And Others [2016] EWHC 256* (2016) (Emphasis put on bringing "proportionality" to the cost of discovery")

59 No. 11 Civ. 1279(ALC)(AJP)

60 Schatsky, D, et. al., "*Demystifying Artificial Intelligence: What Business Leaders Need to Know About Cognitive Technologies* (2014), Deloitte UP ("*Venture capital investments in companies developing and commercializing AI-related products and technology which are capable of handling infinite scaling of computer power by faster chips and cloud-clustered servers have exceeded $2 billion since 2011*")

61 Grady, K., "*With the Internet of Things Comes the Internet of Law"* (2015)

62 Hern, A., The Guardian, "*AlphaGo: Its Creator on the Computer that Learns by Thinking"* (2016)

Electronic copy available at: https://ssrn.com/abstract=3972167

consider new opportunities to increase its advantage of winning.[63] Thus, an overreliance on AI's potentials can "slow the law's evolution by putting lawyers off cases that could break new ground."[64] It must be noted, however, that these failures are existent within the human realm as well. The rationales underlying consumer decision-making is varied, and not many correlate with the consumer's best interests.[65] For example, the traditional consumer sovereignty principle[66] assumes that consumers will peruse every available information prior making welfare-maximising choices. Nevertheless, behavioural economics points towards the "irrational value assessment"[67] that consumers make, such as the failure to switch to better offers[68].

ABSs, looking for a competitive edge, are most likely to pioneer these innovations. Nevertheless, traditional LSPs cannot ignore the technicalities that the new form of servitization requires. A sound understanding of the repercussions of this development on the consumers is primordial to help them balance the corporate, consumer and public interests. Furthermore, technology's putsch in the LSM vis-à-vis human LSPs requires the latter to beware the "existential automation anxiety"[69] that AI might provoke their structural collapse.[70] Instead of worrying about the hypotheticals, LSPs should acquire the skills and knowledge about the developing digital market place ("**DMP**") which will allow them to increase competitive advantage, quality legal service and protection for consumers.

B) Big Data

Big Data can boost the growth of businesses and the economy[71] and "support the fight for justice and law"[72]. Its uses include: predicting case outcomes via the analysis of judicial decision databases[73]; preventing biased "hire-your-mates processes"[74] through enhanced consumer assistance; and identifying common procedural issues such as delays and backlogs. With new uses

63 Chang, D-R., HBR, *"AlphaGo and the Limits of Machine Intuition"* (2016)
64 New Scientise, "*Artificial intelligence Could Make Lawyers More Risk Averse"* (2016)
65 ICF GHK, "*Empowered Consumers and Growth: Literature Review – Final Report, Department for Business, Innovation and Skills"* (2012)
66 Smith, A., "*The Wealth of Nations"* (1937)
67 LSCP, Davies, E., "*The Quality Commodity - Does Quality Come at a Price?"* (2015)
68 Cabinet Office and Institute for Government, "*MINDSPACE: Influencing Behaviour Through Public Policy"* (2011)
69 Flaherty, C., ABA Journal, "*Legal Rebels, Job-Killing Legal Technologies? They Only Look That Way"* (2016) (Flaherty states that the closer our fears get to the future (e.g. fear that new technologies will prospectively reduce legal employment), the more we are distracted and delayed from the present (e.g. LSPs' need to adopt and use the currently available technology)
70 Bindman, D., "*Artificial Intelligence Will Cause "Structural Collapse" of Law Firms by 2030"* (2014)
71 Department for Business, Innovation & Skills, The Rt Hon David Willetts, Arts and Humanities Research Council, Economic and Social Research Council, Medical Research Council and Natural Environment Research Council, "*£73 Million to Improve Access to Data and Drive Innovation"* (2014) (Estimation that the Big Data market will benefit the UK economy by £216 billion)
72 Layman, A., "*Symbolic Logic: A Razor-Edged Tool for Drafting and Interpreting Legal Documents"* (1957), in: YLJ, Vol.66, 833-879
73 Susskind, see n.59.
74 LawyerFair Business Podcast, "*Big Data is Changing The Way To Select A Lawyer"*

Electronic copy available at: https://ssrn.com/abstract=3972167

emerged new analytical methods such as "legal data science"[75] which can further optimise the operations of the LSM.

Nevertheless, the Hague Institute for the Internationalisation of Law states that the court's information technology capacity to extract valuable knowledge from Big Data is restricted.[76] This is especially so with unstructured data, since cognitive computing requires the capacity to model "elaborate conceptual relationships."[77] Moreover, cybercrime and information governance issues are likely to threaten modern business practices in the digitizing LSM. This is supported by the National Fraud Intelligence Bureau's finding that "around 70% of the 230,845 frauds recorded in 2013/14 included a cyber element"[78] relating to the accuracy of legal information websites.

If adequate data security measures are not adopted, client confidentiality, legal professional privilege and lawyers' professional obligations may be endangered. The *Apple v FBI*[79] case, where Apple was forced to provide software to unlock a terrorist's iPhone, raises concerns for LSPs handling sensitive data. Currently, LSPs resort to the ISO 27001 certification to establish industry standards because the SRA guidance on encryption does little in helping them identify the appropriate information security programme.[80] The progress on the Investigatory Powers Bill 143[81] is worth observing and LSPs must create solid cybersecurity policies relating to "shadow IT"[82].

C) Online Services and the Internet of Law

The leveraging of Internet to develop online services ("**OS**")[83] and diversify into new markets allows for consumers to seek alternative redress avenues. The benefits of OS include cost-efficiency, removed human error and convenience. It has been argued that internet of law ("**IoL**"), the "interconnectedness of laws in self-effecting systems"[84], will provide the LSPs with a more efficient way to access valuable and accurate data. For example, it was suggested that the British Government to emulate the model of the Rechtwijzer website which provides an online dispute

75 Schweighofer, E., "*International Association for Artificial Intelligence and Law, From Information Retrieval and Artificial intelligence to Legal Data Science"* (2015)
76 HiiL, Trend Report, "*Trialogue: Releasing the value of courts, The Future of Courts* (2013).
77 Felice, M.D., CIO, *Big Data and Machine Learning – Is the Glass Half Empty?"* (2016)
Fiss, O.M., "*Against Settlement"* (2016)
78 Walker, K., "*The Legal Considerations of the Internet of Things"* (2015); see also Paterson, A., and Smith, R., "*Face to Face Legal Services and their Alternatives: global lessons from the digital revolution"* (2014)
79 Thielman, S., "*Apple v the FBI: What's the Beef, How Did We Get Here and What's at Stake?"* (2016)
80 Goodman, J., The Law Society Gazette, "*Legal Tech: Knocking at the Back Door"* (2016)
81 Cross, M., The Law Society Gazette, "*Protection for Legal Privilege Promised in New Snoopers' Charter"* (2016)
82 Steve Falkin, "*How Law Firms Can Manage and Mitigate the Risks of Shadow IT"* (2016) (shadow IT defined as the use of unsanctioned applications and services which arises with the LSPs' increasing reliance on technology)
83 Barrett, M., and Davidson, E., "*Exploring the Diversity of Service Worlds in the Service Economy"* (2008). In: Information Technology in the Service Economy: Challenges and Possibilities for the 21st Century. Springer, Boston, MA
84 Kenneth Grady, "*With the Internet of Things Comes the Internet of Law"* (2015)

Electronic copy available at: https://ssrn.com/abstract=3972167

roadmap to fully assist its users.[85] However, OSs and IoL do not supplant the traditional advice formats. Rather, they are added values. This is because vulnerable consumers may need more active guidance to emotionally sensitive legal issues. Moreover, the popularisation of the digital delivery of legal services generates new concerns as much as it creates benefits. For example, "ten million British adults have never used the internet, including four million of the most excluded and disadvantaged people."[86] This *ab initio* exclusion of consumers from the digital marketplace constitutes barriers in exhibiting access to justice and fighting against consumer vulnerability.

Overall, digital business models and data analytics create new imperatives for LSPs to transform and adapt or be left behind.[87] A knowledge of the digital world may become a prerequisite in practicing as a LSP in order to satisfy its competence duty in the Model Rule 1.1 and the ABA 2013. LSPs also face the risk of data protection breaches[88] and digital detriments that range from "new web monopolies and online reputation management to unfair terms of data sharing and behavioural pricing."[89] Since security will largely determine the IoL's scope of application[90], regulators should police the DMP and protect it from the emerging digital detriments. References may be made to FTC's report on IoT[91] to recommend: the privacy-by-design approach and in-built securitization methods for IoL devices; a "defense-in-depth" strategy with multi-layered security; and the monitoring of connected devices with a system of notice for data use and sharing.[92]

D) NHS Direct for Law

The proliferous number of sources of information regarding LSPs and the multifarious types of ADR methods are likely to create consumer confusion – a barrier to access to justice. To tackle this issue, the LSB can create an "equivalent of NHS Direct for law" using technology to provide an early diagnosis of what LSP people are most likely to use when experiencing a problem."[93] Greater transparency and availability of reliable information/resources will enable consumers to make more informed choices, as they will be able to: identify when they require legal expertise to resolve the given issue; assess the costs and qualities of competing legal services; and have a better understanding of the risks and likely outcomes of their case.[94]

---

85 Rhodin, M., "*Harvard Law School Conference on Disruptive Innovation in the Market for Legal Services"* (2014) <http://today.law.harvard.edu/conference-examines-disruptions-law-marketplace-video/>

86 Cullum, P., "*Consumer Focus, Unleashing the new Consumer Power"* (2010)

87 Forbes, "*Law Firms Risk Digital Extinction"* (2016)

88 Legal Futures, "*Information Commissioner Sounds Alarm Over Lawyers' Handling of Personal Data"* (2014).

89 "*Defining and Defending Consumer Interests in the Digital Age"* (2011)

90 Sottek, T.C., "*The Internet of Things is Going to be a Legal Nightmare: 'Internet of Things' is Code Word for the Self-Regulation of Things"* (2015)

91 FTC, "*FTC Report on Internet of Things Urges Companies to Adopt Best Practices to Address Consumer Privacy and Security Risks"* (2015)

92 Ibid.

93 Bindman, D., "*Consumer Group Urges "NHS Direct for Law""* (2013)

94 ICF GHK, "*Empowered Consumers and Growth: Literature Review – Final Report, Department for Business, Innovation and Skills"* (2012)

Electronic copy available at: https://ssrn.com/abstract=3972167

Nonetheless, a Panel report in 2012 found that comparison websites and legal services are "too remote for emotional purchases."[95] Information governance, which are "activities and technologies that organizations employ to maximize the value of their information while minimizing associated risks and costs"[96], raises the question of whether individuals can make a strategic use of it.[97] Moreover, consumer detriment can arise in the commercialising legal environment, with, for example, misleading strategic marketing.

Indeed, the lack awareness and choice often lead to consumer passivity. Hence, the consumer protection framework must be used to unlock access to accurate information about the price-quality of legal services.[98] In order to merge the information gap as well as to clarify consumer responsibility and risk management methods, regulators can require third parties to provide consumers with certain information in a prescribed format, such as by requiring the inclusion of compulsory terms in contracts informing consumers about their rights and duties. The deployment of "reputational regulation"[99] in legal services, such as restricting access to sites meeting its licence conditions, could increase consumer confidence in the quality of the LSPs. Moreover, the performance data, core regulatory data and success rates can be used as a lever to improve the credibility and quality of comparison websites.[100] The difficulties about these may be to ensure that everything is presented intelligibly in the consumer language.

95 LSCP, "*Comparison Websites"* (2012)
96 Information Governance Initiative, "*Information Governance Initiative 2014 Annual Report: Information Governance Goes to Work"* (2014)
97 Cabinet Office and Institute for Government, "*MINDSPACE: Influencing Behaviour Through Public Policy"* (2011)
98 Restell, L., "*NHS Direct for the Law"* (2013)
99 Financial Conduct Authority, "*Discussion Paper DP13/1: Transparency"* (2013) (The Financial Conduct Authority chose to make "transparency as a regulatory tool")
100 BIS and Cabinet Office, "*Better Choices: Better Deals. Consumer Powering Growth"* (2011); Cullum, P., "*The Use of Data Publication to Enable Reputational Regulation, A UK Regulators Network Consumer Working Group Discussion Paper"* (2014) (The Government's Consumer Empowerment Strategy promoted an "open by default policy" to support access to data that empowers consumers and holds public service providers and regulated businesses to account).

Electronic copy available at: https://ssrn.com/abstract=3972167

CONCLUSION

The interplay between the established and emerging pro-consumer LSM constructs and technology disruption, amidst the manifold challenges and risks that are unlikely to abate, failed to provide effective access to justice to the to the vulnerable consumers who need it the most. As corporate consumers gain more power, private consumers are left in the access to justice's darkness.

LSPs must craft innovative schemes to vy for success and confront the current and rising digital challenges. Instead of trying to reinvent the wheel, they can use existing resources in creative ways to contend with the market variations. They could, for example, "go global – not virtual".[101]

Regulators must engage in a balancing act facing the transforming structure, operations and shape of the LSM. On the one hand, they must strive to endow the LSM with a more transparent, simple structure to enhance accessibility. On the other hand, they must not overly empower the consumers who might go on to pressure and directly/indirectly control LSPs' practices to the detriment of the LSPs' ethics, profession and the public interest.

101 Flux, LexisNexis, "*Why Law Firms Should Go Global – But Not Virtual"* (2016); Goodman, J., The Law Society Gazette, "*Legal Tech: Easing the Pain-Points"* (2016)

Electronic copy available at: https://ssrn.com/abstract=3972167